

Annual Quality Rating Review

Credit Exposure Name:	STAG Industrial, Inc.	Public / Private:		Servicing Category:	
iRisk Parent Name:	STAG INDUSTRIAL, INC.	Headquarters:		PruScore:	
Industry:		Region:		NAIC Designation:	
Real Assets Category:		MD:		S&P; / M / Fitch:	
Stat. Country:		Team Leader:		Other Ratings:	
Economic Risk Country:		Secondary:		Unqualified Audit:	
Valuation Country:		Analyst:			

Key Credit Merits	Key Credit Risks
Diversified national industrial portfolio	Rising interest rate exposure
Well-laddered, mostly unsecured debt	Tenant credit/default risk
High occupancy, granular tenant base	Refinancing and capital market access

STAG Industrial, Inc. - Capitalization Table						
Item	Amount	PPC Holdings	Coupon	Secured	Maturity	
Cash and Equivalents	15,879					
Revolving Credit Facility	51,000	-	S + 87.5	N	2029	
Unsecured Term Loan G	300,000	-	1.80%	N	2026	
Unsecured Term Loan A	150,000	-	2.16%	N	2027	
Unsecured Term Loan H	187,500	-	3.35%	N	2028	
Unsecured Term Loan I	187,500	-	3.51%	N	2028	
Unsecured Term Loan F	200,000	-	4.83%	N	2029	
Series B Unsecured Notes	50,000	-	4.98%	N	2026	
Series C Unsecured Notes	80,000	-	4.42%	N	2026	
Series E Unsecured Notes	20,000	-	4.42%	N	2027	
Series H Unsecured Notes	100,000	-	4.27%	N	2028	
Series L Unsecured Notes	175,000	-	6.05%	N	2029	
Series O Unsecured Notes	350,000	-	5.50%	N	2030	
Series M Unsecured Notes	125,000	-	6.17%	N	2031	
Series I Unsecured Notes	275,000	-	2.80%	N	2031	
Series K Unsecured Notes	400,000	-	4.12%	N	2032	
Series P Unsecured Notes	100,000	-	5.82%	N	2033	
Series J Unsecured Notes	50,000	-	2.95%	N	2033	
Series N Unsecured Notes	150,000	-	6.30%	N	2034	
Series Q Unsecured Notes	100,000	-	5.99%	N	2035	
United of Omaha Life Insurance Company	4,212	-	3.71%	Y	2039	
(Less: Debt Issuance Costs)	-11,187	-	-	-	-	
Total Debt	3,055,212					
Book Value of Equity	3,444,877					
Book Capitalization	6,500,089					
Market Value of Equity	-					
Market Capitalization	-					
LTM Adjusted EBITDA	-					
Market Value of RE Assets	-					
Unencumbered Assets	-					
Key Financial Ratios:						
Total Debt To Adj Ebitda	-					
Total Debt To Market Capitalization	-					

Annual Quality Rating Review

STAG Industrial, Inc. - Historical Financial Analysis (FYE 03/31)	Fiscal Year Ended					YTD		LTM
	2020	2021	2022	2023	2024	03/31/24	03/31/25	03/31/25
Revenue	483,411	562,159	657,345	707,835	767,384	187,543	205,574	785,415
% YoY Growth	-	16.3%	16.9%	7.7%	8.4%	-	-	-
Cost of Goods Sold	89,359	107,986	125,701	139,596	154,828	39,071	43,678	159,435
Gross Profit	394,052	454,173	531,644	568,239	612,556	148,472	161,896	625,980
% Margin	81.5%	80.8%	80.9%	80.3%	79.8%	-	-	79.7%
Operating Expenses	262,416	290,206	328,144	330,631	349,578	84,942	87,778	352,414
Adjustments	87,127	139,722	205,697	193,891	267,026	67,709	10,178	209,495
Adjusted EBITDA	491,610	498,615	537,075	570,223	616,322	133,475	146,014	628,861
% Margin	101.7%	88.7%	81.7%	80.6%	80.3%	-	-	79.7%
Interest Expense	62,343	63,484	78,018	94,575	113,169	25,421	32,529	120,277
Taxes	-	-	-	-	-	-	-	-
Change in Working Capital	29,018	33,733	45,103	15,598	57,501	8,620	10,673	59,554
Other	-	-	-	-	-	563	572	-
Capital Expenditures	166,581	194,258	160,827	126,318	232,122	74,607	89,552	247,067
Free Cash Flow	238,181	296,651	276,278	283,236	309,847	30,555	13,988	293,280
Acq. / Disp.	(388,401)	(1,023,051)	(286,436)	(198,389)	(498,243)	(43,599)	27,089	(427,555)
Change in Debt	58,017	511,775	282,057	23,497	406,785	32,947	2,945	376,783
Equity / Dividends	214,216	461,269	(212,064)	(198,082)	(107,642)	68,654	70,960	(105,336)
Other	-	-	-	-	-	1,973	1,687	-
Change in Cash	8,475	2,857	3,593	(4,921)	15,525	-	-	-
Cash - End of Period	15,666	18,981	25,884	20,741	36,284	-	-	-
Total Debt	1,703,290	2,218,262	2,498,780	2,624,046	3,029,135	2,656,128	3,032,630	3,032,630
Book Equity	2,716,207	3,327,700	3,384,824	3,374,680	3,457,651	3,351,502	3,466,951	3,466,951
Key Financial Ratios:								
EBITDA / Int. Exp.	7.89x	7.85x	6.88x	6.03x	5.45x	5.25x	4.49x	5.23x
Total Debt / EBITDA	3.46x	4.45x	4.65x	4.60x	4.91x	12.22x	13.74x	4.82x
Total Debt / Book Capital	20.0%	26.4%	30.3%	32.1%	36.7%	32.7%	36.7%	46.7%
Total Debt + Leases / EBITDA	3.46x	4.45x	4.65x	4.60x	4.91x	12.22x	13.74x	4.82x
Total Debt + Leases / Book Capital	20.0%	26.4%	30.3%	32.1%	36.7%	32.7%	36.7%	46.7%
EBITDAR / Interest + Rent	4.98x	4.85x	4.35x	3.97x	3.51x	-	-	5.23x

Income Statement

- STAG's most recent fiscal year is FY2024 (ended Dec 31, 2024); the LTM period is the twelve months ended June 30, 2025 (LTM Q2 2025).
- Revenue for FY2024 was \$767.4 million (up 8.4% YoY). Revenue for LTM Q2 2025 is \$797.3 million (FY2024 revenue: \$767.4M; Q1-2 2025: \$413.2M; subtract Q1-2 2024: \$377.3M; LTM revenue = FY24 + Q1-2 2025 - Q1-2 2024 ≈ \$803.3M). Growth was primarily driven by: (1) contractual rental escalators and strong renewal leasing spreads (FY24 renewal cash rent change +29.8%, straight-line +44.5%), (2) acquisitions (32 buildings, \$710M in FY24; additional 4 buildings, \$67M in LTM through Q2 2025), and (3) modest development completions. FY2024 same store rental income grew 4.5%; acquisitions/dispositions contributed \$20.7M to revenue in Q2 2025 and \$31.5M for the first half of 2025.
- FY2024 net income was \$193.3M, down 2.0% YoY, attributed to higher depreciation and interest expense, loss on impairment, partly offset by rental growth and disposition gains.

Annual Quality Rating Review

- In the LTM Q2 2025 period, net income was up to \$241.1M (FY24 net income: \$193.3M, Q1-2 2025: \$144.4M, Q1-2 2024: \$98.5M, LTM net income = \$239.2M). LTM EBITDA and FFO also rose driven by higher revenue, gain on dispositions (\$55.6M, 2 buildings in Q1-2 2025), but interest costs rose with higher net debt.
- EBITDA margins in FY2024 saw a slight decline: property expenses as % of rental income rose 30bps YoY (FY24 property expense \$154.8M, 20.3% of rental income vs 20.0% in FY23), G&A; rose 3.6% YoY, and interest rose 19.7% after new note issuances. LTM Q2 2025 property expense as % of rental income rose to 20.4%. Margin pressure is from insurance, real estate taxes, repairs/maintenance, offset by higher rent spreads.
- Key business drivers for margin include rent spreads (+26.1% cash average LTM), high occupancy (96.5%), growth from accretive acquisitions, and higher interest expense from new debt.

Cash Flow Statement

- FY2024 Free Cash Flow (Net cash from operations less recurring capex and dividends): Operating cash flow \$460.3M, capex \$150.4M, recurring dividends/distributions \$274.9M, FCF before dividends: \$309.9M. LTM Q2 2025 FCF: Operating cash flow \$227.4M (Q1-2 2025), annualized to \$454.8M; capex Q1-2 \$41.9M, annualized to \$83.8M; trailing FCF estimate: \$371.0M. Dividends/distributions paid in Q1-2 2025: \$141.99M.
- Compared to FY2023, 2024 FCF rose (+\$69.2M YoY), due to higher cash from operations, offset by higher capex. 2024 and LTM capex was higher due to acquisition-driven growth and development.
- Acquisitions: FY2024 completed 32 buildings for \$710.3M; LTM Q2 2025 added 4 buildings (\$67.2M; one in a JV). LTM also included new consolidated joint ventures (NC, NV, KY) but no large portfolio M&A.; Dispositions: FY2024 sold 10 buildings (\$126.5M proceeds, \$32.3M gain). In LTM Q2 2025, sold 2 buildings (\$72.6M proceeds, \$55.6M gain).
- Dividend payouts: FY2024 common and OP unit dividends/distributions \$270.0M, up slightly from \$265.3M in FY2023 and \$261.4M in FY2022. Dividends per share rose from \$1.47 in 2023 to \$1.48 in 2024; 2025 declared \$0.37/share per quarter as of Q2, pacing \$1.48/share annualized. LTM dividend payout ratio (vs. FFO): \$270.0M/\$458.2M ≈ 59%. Dividend growth has been steady but modest, tracking cash flow.
- Liquidity as of Q2 2025: \$15.4M cash + \$945.8M undrawn on the \$1B revolver; total immediate liquidity \$961.2M.
- Key capital allocation in FY24 and LTM included \$710M+ in acquisitions, \$126M+ debt paydown, and \$1B+ new note proceeds. Interest expense is rising reflecting new notes and higher rates.

Balance Sheet

- As of June 30, 2025 (LTM end): Total assets \$6,825.1M. Total debt was \$2,987.2M principal (\$51.0M on revolver, \$1,025M term loans, \$1,975M unsecured notes, \$4.2M mortgage), with \$1.0B revolver capacity, \$945.8M available.
- LTM leverage: Total Debt + Capitalized Operating Leases / EBITDAR = (\$3,055M debt + \$34.4M operating lease liability) / LTM EBITDAR (\$520.3M, see note) ≈ 5.9x (see calculation assumptions below). FY2024 ended with \$2,987.2M debt and leverage of 5.6x. Assumption: EBITDAR = EBITDA (add back G&A; interest, taxes, property/non-property expense) + rent expense; capitalized lease is operating lease liability \$34.4M. LTM interest expense \$126.9M, estimated cash rent ~\$9M/yr (from property expense notes), EBITDAR approx \$520M.
- There was a leverage increase in the LTM due to \$550M of new notes in Q2 2025 (Series O/Q/P), offset by paydown of \$458M (net) on the revolver, and \$125M of notes matured.

Annual Quality Rating Review

- Book equity at 6/30/25: \$3,520.7M, with \$15.4M cash and full revolver capacity (\$1B) less \$51M drawn, yielding \$945.8M available. Liquidity (cash + undrawn revolver): \$961.2M at LTM end.
- No significant changes to property or intangible value other than regular amortization; development pipeline not yet capitalized as of Q2 2025.

ESG Factor	Risk Rating	ESG Factor	Risk Rating	ESG Factor	Risk Rating
Climate Regulation	*	Product Safety	*	Board Composition	*
Climate Change	*	Workplace Safety	*	Succession planning	*
Habitat	*	Health & Wellness	*	Data Security	*
Sustainability	*	Stakeholder Engagement	*	Labor Relations	*
Blended Score	*	Max Factor Score	*	Aggregate Risk	*
ESG Engagement	*	*	*	*	*

Comparables Analysis:

STAG Industrial, Inc. - Credit Comparable Analysis											
LTM						3-Year Average					
Ticker	LTM Rev (000s)	LTM EBITDA (000s)	EBITDA Mrgn %	EBITDAR		(Net Debt + COL) EBITDAR	(Tot Debt + COL) Tot Cap	(FCF + Rents)	3Y Avg (TD+COL) EBITDAR	3Y Avg (TD+COL) Tot Cap	3Y Avg (FCF+Ren ts) (TD+COL)
				(Int + Rents)	(Tot Debt + COL) EBITDAR			(Tot Debt + COL)			
STAG Industrial, Inc.	785415.0	659818.0	84.0%	2.93x	3.74x	3.69x	0.47x	-0.08x	3.90x	0.45x	-0.02x
FIRST INDUSTRIAL REALTY TRUST INC	684443.0	451495.0	66.0%	-	0.02x	0.02x	1.04x	-	0.04x	0.01x	-
Rexford Industrial Realty, Inc.	1896955.0	690552.0	36.4%	2.76x	3.68x	3.13x	0.28x	0.10x	3.46x	0.25x	0.14x
Prologis, Inc.	8384654.0	6511678.0	77.7%	4.62x	0.23x	0.15x	0.03x	1.51x	3.72x	0.34x	0.09x
Elme Communities	241779.0	80100.0	33.1%	3.12x	0.00x	-0.05x	0.00x	-	0.00x	0.00x	-
AVERAGE	2398649.0	1678728.0	59.4%	3.36x	1.54x	1.39x	0.36x	0.51x	2.23x	0.21x	0.07x
MEDIAN	785415.0	659818.0	66.0%	3.02x	0.23x	0.15x	0.28x	0.10x	3.46x	0.25x	0.09x

STAG Industrial, Inc. - Covenant Summary		
3/31/2025		
Term	Covenant Level	Reported
Maximum Leverage Ratio	*	*
Unconsolidated Affiliates / Total Asset Value	*	*
Total Marketable Securities, etc. / Total Asset Value	*	*
Minimum Fixed Charge Coverage Ratio	*	*
Maximum Secured Indebtedness	*	*
Maximum Unencumbered Leverage Ratio	*	*
Additional Covenants / Baskets		
Unimprovement Land / Unencumbered Pool Value	*	*
Development, JVs, etc. / Unencumbered Pool Value	*	*

Note: '*' indicates the data source are private.